



# TRADE ORGANIZATIONS ORDINANCE, 2006.

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## Contents

|    |                                                                                          |
|----|------------------------------------------------------------------------------------------|
|    | <b>PREAMBLE</b>                                                                          |
| 1  | SHORT TITLE, EXTENT, COMMENCEMENT AND APPLICATION                                        |
| 2  | DEFINITIONS                                                                              |
| 3  | LICENSING AND REGISTRATION OF TRADE ORGANIZATIONS                                        |
| 4  | REVOCATION OF LICENSES OF EXISTING TRADE ORGANIZATIONS                                   |
| 5  | PRIVILEGES AND OBLIGATIONS OF TRADE ORGANIZATIONS                                        |
| 6  | RENEWAL OF LICENSE                                                                       |
| 7  | CANCELLATION OF LICENSE AND EXEMPTION                                                    |
| 8  | CANCELLATION OF REGISTRATION                                                             |
| 9  | GRANT OF LICENSE DE NOVO                                                                 |
| 10 | MEMBERSHIP OF TRADE ORGANIZATIONS                                                        |
| 11 | ORGANIZATION AND TENURE OF OFFICE-BEARERS AND EXECUTIVE COMMITTEE OF TRADE ORGANIZATIONS |
| 12 | AMENDMENT, REPEAL, ETC OF ARTICLES, MEMORANDUM, ETC OF TRADE ORGANIZATIONS               |
| 13 | THE DIRECTOR GENERAL                                                                     |
| 14 | POWERS AND FUNCTIONS OF THE DIRECTOR-GENERAL                                             |
| 15 | POWERS TO ENTER AND SEARCH THE PREMISES                                                  |
| 16 | SUPER SESSION OF EXECUTIVE COMMITTEE, OFFICE-BEARERS AND APPOINTMENT OF ADMINISTRATOR    |
| 17 | ADMINISTRATOR TO ACT UNDER THE CONTROL OF DIRECTOR-GENERAL                               |
| 18 | RESTRICTION ON SUITS AGAINST TRADE ORGANIZATIONS                                         |
| 19 | COMPULSORY MEMBERSHIP OF TRADE ORGANIZATIONS                                             |
| 20 | RESTRICTION ON MEMBERSHIP                                                                |
| 21 | APPEAL                                                                                   |
| 22 | DELEGATION OF POWERS                                                                     |
| 23 | FEDERAL GOVERNMENT MAY CARRY OUT THE FUNCTIONS OF THE DIRECTOR-GENERAL                   |
| 24 | POWER TO LEVY FEE ETC                                                                    |
| 25 | PENALTY                                                                                  |
| 26 | CONTRAVENTION BY COMPANIES, ETC                                                          |
| 27 | TRADE ORGANIZATIONS FUND                                                                 |

|    |                                  |
|----|----------------------------------|
| 28 | PRESUMPTION AS TO ORDERS         |
| 29 | MODE OF RECOVERY                 |
| 30 | INDEMNITY                        |
| 31 | POWER TO MAKE RULES              |
| 32 | ORDINANCE TO OVERRIDE OTHER LAWS |
| 33 | TRANSITIONAL PROVISIONS          |
| 34 | REPEAL AND SAVINGS               |

# TRADE ORGANIZATIONS ORDINANCE, 2007

## ORDINANCE XLIII OF 2007

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### ORDINANCE

*to provide for the registration and regulation of trade organization*

WHEREAS it is expedient to ensure appropriate representation of all genders and business sectors at all levels in trade organizations and that they play significant role in developing policy framework for improving business environment and economic growth;

AND WHEREAS it is imperative to define the purpose, role, responsibilities and operational framework including code of corporate governance for trade organizations; and for matters connected therewith or incidental thereto;

AND WHEREAS, the National Assembly is not in session and the President is satisfied that the circumstances exist which render it necessary to take immediate action;

NOW, THEREFORE, in exercise of the powers conferred by clause (1) of Article 89 of the Constitution of Islamic Republic of Pakistan, the President is pleased to make and promulgate the following Ordinance--

### CHAPTER I

#### PRELIMINARY

**1. Short title, extent, application and commencement.**-(1) This Ordinance may be called the Trade Organizations Ordinance, 2006.

(2) It extends to the whole of Pakistan.

(3) It shall apply to trade organizations whose objects and business are not confined to a Province.

(4) It shall come into force at once.

**2. Definitions.** In this Ordinance, unless there is anything repugnant in the subject or context,--

(a) “administrator” means an Administrator appointed under this Ordinance;

(b) “articles” means the articles of association of a trade organisation;

(c) “Director-General” means the Director-General of the Trade Organizations appointed by the Federal Government and includes an officer empowered by the Federal Government to perform the functions of the Director-General under this Ordinance;

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- (d) “Executive Committee” means the Board of Directors, the Managing Committee or any other body, by whatever name called, of a registered trade organization responsible for the management or conduct of the affairs of such trade organization;
- (e) “existing trade organization” means an organization licensed under the Trade Organizations Ordinance, 1961 (XLV of 1961);
- (f) “license” means a license granted to a trade organization under section 3 of this Ordinance;
- (g) “Member of the Executive Committee” includes a Director where the Executive Committee is a Board of Directors and the Chairman, Vice-Chairman, President and Vice-President of a trade organization licensed under this Ordinance;
- (h) “member of a trade organization” means a firm and includes a proprietorship, an association of persons, a partnership, a company or a multinational corporation, engaged in trade, industry or services and enrolled as a member of a trade organization licensed under this Ordinance;
- (i) “memorandum” means the memorandum of association of a trade organization;
- (j) “office-bearers” means President, Vice-President, Chairman and Vice-Chairman of a trade organization;
- (k) “Ordinance” means the Companies Ordinance, 1984 (XLVII of 1984);
- (l) “prescribed” means prescribed by the rules made under this Ordinance;
- (m) “register” means the Register of Companies required to be kept under section 147 of the Ordinance;
- (n) “registered trade organization” means a trade organization registered under the Ordinance;
- (o) “repealed Ordinance” means the Trade Organizations Ordinance 1961 (XLV of 1961); and
- (p) “trade organization” means an organization which:-
- (i) is capable of being formed as a limited company within the meaning of the Ordinance;
  - (ii) is formed or intended to be formed with the object of promoting any trade, industry or service or any combination thereof;
  - (iii) prohibits payment of any profits to its members; and
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(iv) applies its income and profits for achieving its objects.

**3. Licensing and registration of trade organizations.**-(1) Notwithstanding anything contained in the Ordinance or in any other law for the time being in force relating to registration of societies, bodies or associations of persons, no trade organization shall be registered under the Ordinance or such other law unless it holds a license granted by the Federal Government authorizing it to be so registered.

(2) No license shall be granted for registration under the Ordinance to a trade organization unless it is:-

- (a) a Federation of Chambers of Commerce and Industry, organized on all-Pakistan basis, to represent Chambers and Associations referred to in clauses (b), (c), (d) and (f):

Provided that a license for registration as a Federation of Chambers of Commerce and Industry shall not be granted to more than one trade organization;

- (b) a Chamber of Commerce and Industry organized to represent trade, industry and services in a district. Such a Chamber representing less than the prescribed number of persons shall not be granted license. Where the number of persons desiring to form a Chamber is less than the prescribed number of persons, they may join a licensed Chamber of the adjoining district:

Provided that the Federal Government may, by Notification in official Gazette, combine one or more districts for the purpose of grant of only one license. In such a case the Federal Government may allow the districts so combined to form a Town Association under clause (e);

- (c) a Women's Chamber of Commerce and Industry organized to represent the women entrepreneurs engaged in trade, industry or services and territorial jurisdiction of such a Chamber shall be determined by the Government from time to time by a Notification in official Gazette but such a Chamber representing less than the prescribed number of women entrepreneurs shall not be granted license and where the number of women entrepreneurs desiring to form a Chamber is less than the prescribed number, they may join an adjoining Women's Chamber of Commerce and Industry:

Provided that nothing contained in this clause shall debar a woman entrepreneur to become member of a Chamber in clause (b) if such woman entrepreneur otherwise qualifies the criteria of membership of the respective chamber;

- (d) an association with membership on all-Pakistan basis organized to represent a specific trade, industry or service or any combination thereof:

Provided that a license for registration as an all-Pakistan association shall not be granted to more than one trade organization in the same sector:

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Provided further that whether a specific activity in trade, industry or service is an independent sector or only a sub-sector shall be determined by the Government, whose decision in this respect shall be final;

- (e) a Town Association, organized to represent trade, industry and services in a town, tehsil, taluka or a district where there is no Chamber and such Town Association shall be affiliated with the Chamber of the concerned district:

Provided that when a town, tehsil or taluka is upgraded as a district or is granted licence under clause (b), the Town Association in that town, tehsil, taluka or district shall cease to exist with immediate effect; and

(3) Notwithstanding the provisions of clauses (b) and (d) of subsection (2), where the membership of a chamber in a district attains the minimum prescribed number for grant of license to a chamber under this Ordinance, such persons shall be entitled to form and apply for grant of license as a chamber.

(4) On grant of license to a Chamber under subsection (3), the firms and companies, which had obtained membership in the Chamber of an adjoining district, shall be deemed to have de-registered from membership register of the adjoining Chamber.

(5) Application for grant of license of a trade organization shall be submitted to the Federal Government in the prescribed Application Form.

(6) A trade organization shall be granted license on such terms and subject to such conditions as may be prescribed.

(7) License shall be granted to a trade organization for a period of three years.

(8) A trade organization holding a license shall be registered under the Ordinance as a company with limited liability without the addition of the word “limited” to its name and on such registration shall enjoy all the privileges of a limited company and be subject to all its obligations except those of-

- (a) using the word “ limited” as any part of its name;

- (b) publishing its name; and

- (c) sending lists of members to the Registrar.

(9) The Federal Government may, by Notification in the official Gazette, grant exemption to any trade organization from any provision of this Ordinance and such exemption may be for such period and subject to such conditions as may be specified in the notification:

Provided that no such exemption shall be granted to a .trade organization unless the Federal Government is satisfied that it would be in the public interest to do so.

**4. Revocation of licenses of existing trade organizations.**-(1) Except as hereinafter provided, and notwithstanding anything in any other law for the time being in force and

Memorandum and Articles of Association of any trade organization, any license granted under section 3 of the repealed Ordinance to an existing trade organization shall stand revoked, with effect from December, 30th, 2006, and such trade organization shall be required to apply for grant of license under this Ordinance by the date notified by the Federal Government:

Provided that revocation of license of a trade organization shall not prevent its members from assuming office, subject to section 11, consequent upon elections under the repealed Ordinance.

(2) The Federal Government shall decide on application for grant of license within such period of its filing as notified by the federal Government.

(3) An existing trade organization which has applied for grant of license within the time notified by the Federal Government shall continue to function as a trade organization until the Federal Government decides its application for grant of license and until the first elections are held according to rules made under this Ordinance.

**5. Privileges and obligations of trade organizations.**-(1) A licensed and registered trade organization shall be a body corporate with perpetual succession and a common seal and may sue and be sued in its own name and, subject to and for the purposes of this Ordinance, may enter into contracts and may acquire, purchase, take, hold and enjoy movable and immovable property of every description and may convey, assign, surrender, yield up, charge, mortgage, demise, re-assign, transfer or otherwise dispose of or deal with, any movable or immovable property or any interest vested in it, upon such terms as it deems fit.

(2) The liability of members of a licensed and registered trade organization shall be limited to their membership subscription.

(3) No trade organization other than a licensed and registered trade organization shall use in its name or title the word "Federation" or "Chamber" or "Association" except an existing trade organization which has applied for grant of license under this Ordinance:

Provided that nothing in sub-section (3) shall apply to a company, association or body of persons formed for promoting art, science, religion, charity, sports, any profession other than trade, commerce, industry, service or any other subject which the Government may, by Notification in the official Gazette specify in this behalf.

**6. Renewal of license.**-(1) A licensed trade organization shall require renewal of its license every three years.

(2) Application for renewal of license shall be made to the Director-General ninety days prior to the expiry of license:

Provided that the Director-General, on sufficient cause being shown, by an order in writing, may extend the period not exceeding thirty days.

(3) Annual accounts and performance of a trade organization shall be audited by a firm of chartered accountants, and the reports thereof shall be submitted to the Director-General along with the renewal application.

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(4) The Director-General, on receipt of the application for renewal of license, shall Endeavour to decide before the expiry of the license.

**7. Cancellation of license and exemption.**-(1) The license granted to a trade organization shall be cancelled by the Federal Government where:-

- (a) a trade organization fails to apply for renewal of the license granted under section 3 of this Ordinance within the prescribed or extended period allowed by the Director-General;
  - (b) a trade organization fails to apply for membership of the Federation of Pakistan Chambers of Commerce and Industry within one month of grant of license;
  - (c) a trade organization fails to get registration under the Ordinance;
  - (d) a trade organization is found to be non-existent at the registered address or is non-operational;
  - (e) a trade organization is not holding elections or operating according to the provisions of the memorandum within the prescribed period;
  - (f) a trade organization is not complying with the orders and directions of the Federal Government or Director-General issued under this Ordinance of the prescribed rules;
  - (g) a trade organization is not discharging statutory obligations as a Limited Company incurred under the Ordinance;
  - (h) a trade organization is not discharging statutory obligations under this Ordinance or prescribed rules;
  - (i) a trade organization fails to pay the penalties imposed under this Ordinance within the prescribed period;
  - (j) the Federal Government cancels any exemption granted to a trade organization under sub-section (9) of section 3;
  - (k) the trade organization is engaged in activities other than those for which it was established;
  - (l) the trade organization has lost its representative character, or its membership remains below the prescribed threshold over a period of two years;
  - (m) the financial or performance audit report of a trade organization states that:-
    - (i) the income and profits of the trade organization are spent for purposes other than those for which it was established;
    - (ii) the trade organization does not remain financially viable.
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(2) Where the Federal Government intends to cancel the license of a trade organization, granted under section 3 of this Ordinance, it shall issue a show-cause notice to such trade organization specifying the grounds for its intention to cancel the license and provide adequate opportunity of being heard before deciding the matter.

(3) The Federal Government shall notify, in the official Gazette, cancellation of license of a trade organization.

(4) Where the license is cancelled on any ground mentioned in clauses (d), (e), (f), (g), (h), (i), (k), (l) and (m) of sub-section (1) members of the trade organization concerned found responsible by the Federal Government for the grounds of cancellation shall be debarred from sponsoring the proposal for grant of license or de novo license to a trade organization or becoming member of or holding any office of any trade organization for a period not exceeding three years.

(5) Where the license of a trade organization has been cancelled under sub-section (1), a member or member of executive committee or employee of such trade organization continues to impersonate as member, member of executive committee or employee of the trade organization, such person shall be liable to penalties under section 24.

**8. Cancellation of registration.**-(1) Notwithstanding anything contained in the Ordinance or any other law for the time being in force,-

- (a) the registration of a trade organization under the Ordinance shall be deemed to have been cancelled with immediate effect if the license granted to such trade organization has been cancelled by the Federal Government under section 7;
- (b) the registration of an existing trade organization shall stand cancelled with immediate effect if such a trade organization has failed to apply for grant of fresh license within the time notified by the Federal Government;
- (c) the registration of an existing trade organization under the Ordinance shall stand cancelled on 1st July, 2008, unless it has been granted license by the Federal Government under section 3.

(2) The Registrar shall strike off the register, and publish in the official Gazette, the names of all such trade organizations whose registration has been cancelled under sub-section (1).

(3) All affairs of a trade organization whose registration stands cancelled under sub-section (1) shall be wound up in a manner as determined by the Federal Government.

**9. Grant of license de novo.**-(1) Where license of a trade organization is cancelled under section 7 the Federal Government may consider grant of license de novo after a period of one year from the date of cancellation of license:

Provided that where the license of a trade organization was cancelled under clause (a) of sub-section (1) of section 7, the Federal Government may consider the grant of license de novo at an earlier date.

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(2) The trade organization seeking license under sub-section (1) shall be required to make an application in such form and manner as may be prescribed.

**10. Membership of trade organizations.**-(1) Chambers and sector-specific associations on all Pakistan basis, granted license under this Ordinance, shall apply for membership of the Federation of Pakistan Chambers of Commerce and Industry within thirty days of grant of license under this Ordinance.

(2) Upon an application by a trade organization under sub-section (1), the Federation of Pakistan Chambers of Commerce and Industry shall enroll such trade organization as its member within thirty days and where such an enrolment is not decided within thirty days, the matter shall be referred to the Director-General along with the reasons for not allowing enrolment and the Director-General shall decide the matter within thirty days.

(3) A chamber or an association which is a member of the Federation of Chambers of Commerce and Industry shall be eligible to vote in the election of office-bearers and committees of the Federation on completion of two years of grant of license:

Provided that the existing trade organizations, on grant of license under this Ordinance, shall be deemed to be members of the Federation and shall be entitled to vote.

(4) Proprietorships, associations of persons, partnerships, companies or multinational corporations engaged in trade, industry or services shall be entitled to enrolment as members of chambers and associations on fulfillment of the prescribed conditions.

(5) Notwithstanding anything contained in any other law for the time being in force any person engaged in trade, industry or service, or any combination thereof, shall be entitled to be enrolled as a member of a registered trade organization except where such person is otherwise disqualified for any of the reasons as may be prescribed.

(6) Where a person, qualified to be enrolled as a member of a trade organization, is refused enrolment or the enrolment is unduly delayed, on a complaint by the aggrieved person, the Director-General may direct the trade organization concerned to enroll such person as a member on fulfillment of the prescribed requirements.

(7) Members of the Chambers and Associations shall be eligible to vote on completion of two years of their enrolment and payment of all dues.

(8) Except for the membership and office-bearers provided under this Ordinance or prescribed rules, there shall not be any other position by any nomenclature in a trade organization.

**11. Organization and tenure of office-bearers and Executive Committee of trade organizations.**-(1) Notwithstanding anything contained in any other law for the time being in force and Memorandum and Articles of Association of any existing trade organization the tenure of office-bearers of all trade organizations shall be one year,-

(a) in the case of the Federation of Pakistan Chambers of Commerce and Industry from the 1st day of January to 31st day of December;

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(b) in the case of all other trade organizations, the 1st day of October to 30th day of September:

(c) Provided that the tenure of the office-bearers and executive committee of the Federation shall remain two years till 31st December, 2010.

(2) The organizational structure of trade organizations including composition and tenure of Executive Committees and the manner of their elections shall be such as prescribed.

**12. Amendment, repeal, etc. of articles, memorandum, etc. of trade organizations.**-(1) Notwithstanding anything contained in this Ordinance or in any other law for the time being in force or in the articles or memorandum,-

(a) a registered trade organization shall not rescind, amend or otherwise modify its articles or memorandum without the prior approval of the Federal Government; and

(b) the Federal Government may, whenever it considers expedient to do so, by order in writing, direct any such trade organization to rescind, amend or otherwise modify its articles, memorandum, rules or bye-laws or to make any rule or bye-law, in such manner and within such period as may be specified in the order.

(2) If any registered trade organization fails or neglects to comply with the direction under clause (b) of sub-section (1), the rescission, amendment, modification, or making as provided in the order under clause (b) of sub-section (1) shall be deemed to have been duly done by the trade organization in accordance with this Ordinance or its articles or memorandum or in the manner it is otherwise competent to do so.

**13. The Director-General.**-(1) The Federal Government may, by Notification in the official Gazette, appoint or empower an officer to perform the functions of Director-General of trade organizations under this Ordinance.

(2) The Federal Government may appoint or empower such other officers with such designations as it deems fit for performing under the superintendence and direction of the Director-General, such functions of the Director-General, under this Ordinance as he may, from time to time, authorize them to discharge.

(3) The Director-General may, by order in writing,-

(a) review any function, matter, case or decision of any officer; or

(b) withdraw any function, matter or case from any officer or staff, and deal with such function, matter or case himself either de novo or from the stage it was so withdrawn, or transfer the same to another officer or staff at any stage.

**14. Powers and functions of the Director-General.**-(1) All acts and proceedings of a registered trade organization shall be subject to the control of the Federal Government and, subject to such control the affairs of such trade organization shall be managed and conducted in such manner as the Director-General may, from time to time, direct.

(2) The Director-General shall, for the purpose of this Ordinance, have the same powers as are vested in a Civil Court under the Code of Civil Procedure 1908 (Act V of 1908) in respect of the following matters, namely:-

- (a) summoning and enforcing the attendance of any person and examining him on oath;
- (b) compelling the production of documents;
- (c) receiving evidence on affidavit; and
- (d) issuing commission for the examination of witnesses.

(3) Notwithstanding anything contained in any law for the time being in force or in the articles or memorandum of a registered trade organization and without prejudice to the generality of the foregoing provisions, the Director-General shall exercise the powers to-

- (a) conduct enquiries into the affairs of a trade organization as may be necessary for the purposes of this Ordinance;
- (b) inspect, with or without prior notice, any office of such trade organization including any of its branch or regional, circle, zonal or liaison office, or any record or document found therein;
- (c) attend any meeting of the general body or the Executive Committee of such trade organization or of any committee or other body set up or appointed to transact any business, or to conduct any affair, of such trade organization;
- (d) watch and supervise, or cause to be watched and supervised, any election held by, or for the purpose of electing persons to the Executive Committee or other body including a region, circle or zone of any such trade organization;
- (e) act as a final forum of appeals against the decisions of any person, committee or office-bearers of a trade organization in matters relating to electoral process before the conduct of election; and
- (f) annul the results of any election held by any trade organization if he is satisfied-
  - (i) upon his own knowledge and after such investigation as he may think fit to make; or
  - (ii) upon a report made by a person authorized by him to make investigation for the purpose; or
  - (iii) upon a complaint filed by an aggrieved person in this behalf within thirty days of the announcement of the results of such election, that the irregularities in the conduct of such election justify such annulment and, by order in writing, direct fresh election to be held within such period as may be specified in the order;



- (g) cancel, suspend or modify any resolution adopted or any decision taken, by the general body or the Executive Committee of such trade organization if he is satisfied that such resolution or decision is not in conformity with the provisions of the articles or memorandum or any rules or regulations made there under, or that the requirements of the provisions of articles or memorandum or any rules or regulations made there under have not been complied with while adopting such resolution or taking such decision, or that such resolution or decision is contrary to any rules, regulations, directions or instructions issued by the Director-General or by the Federal Government to such trade organization;
- (h) if he considers it necessary for smooth, orderly and efficient functioning of any such trade organization,-
  - (i) remove or cause to be removed any number of members of the Executive Committee of such trade organization and fill up, or cause to be filled up, the resultant vacancies;
  - (ii) suspend, or cause to be suspended, for a specified period, any number of members of any such trade organization and cancel or cause to be cancelled, any such suspension or the suspension of any member otherwise than by or at the instance of the Director-General;
  - (iii) remove, or cause to be removed, from the membership register, the name of any number of members, and reinstate, or cause to be reinstated, in the membership register, any member so removed or removed otherwise than by or at the instance of the Director-General;
- (i) give directions to persons or trade organizations in matters concerning this Ordinance, or any rules or directive made there under;
- (j) impose and collect penalties and fines under section 25;
- (k) such other powers as are provided by this Ordinance.

**15. Powers to enter and search the premises.**-(1) The Director-General or any officer authorized in this behalf may, for the purpose of making any investigation, enter any premises, where the Director-General or such authorized officer, as the case may be, has reasons to believe that any article, books of accounts, computer hardware or software, data recording devices, or other document relating to the subject matter of investigation may be found, and may:-

- (a) search such premises and inspect any article, books of accounts, computer hardware or software, data recording devices, or other document;
  - (b) take extracts or copies of such articles, books of accounts, or any software data;
  - (c) impound or seal such books of accounts, computer hardware or software, data recording devices, or other documents; and
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- (d) make inventory of such articles, books of accounts, computer hardware or software, data recording devices, or other documents found in such premises.

(2) All searches made under sub-section (1) shall be carried out, mutatis mutandis, in accordance with the provisions of Code of Criminal Procedure, 1898 (Act V of 1898).

**16. Super session of Executive Committee, office-bearers and Appointment of Administrator.**-(1) Where the Federal Government is of the opinion that the affairs of a registered trade organization are not being properly managed and that the interests of trade, industry or service so require, it may, by order in writing, suspend or supersede the Executive Committee of such trade organization for such period, not exceeding two years, as may be specified in the order:

Provided that no such order shall be made unless the Executive Committee, intended to be suspended or superseded, has been given a notice in writing of, and afforded an opportunity to make a representation against, the intended super session.

(2) Where-

- (a) an Executive Committee is superseded under sub-section (1);
- (b) in the opinion of the Federal Government, it is not possible for any reason to reconstitute the Executive Committee at the due time of such re-constitution; or
- (c) the Executive Committee is debarred by an order of any Court, from discharging its functions, the Federal Government may appoint, for such period, not exceeding two years, as it may think fit, an Administrator to take over the functions of such Committee and to manage and conduct the affairs of the trade organization:

Provided that when the period of super session is terminated or the Executive Committee is re-constituted or the order of the Court is vacated before the expiry of the period for which the Administrator shall have been appointed, the Federal Government may direct the Administrator to relinquish the functions taken over by him in favor of the Executive Committee.

(3) Upon the appointment of an Administrator under clause (a) or clause (b) of sub-section (2), the members of the Executive Committee shall be deemed to have vacated their respective offices.

**17. Administrator to act under the control of Director-General.**-(1) The Administrator shall manage and conduct the affairs of the trade organisation under the supervision and control of the Director-General and in accordance with the rules, if any, made in this behalf by the Federal Government and, until such rules are made, in accordance with such directions as the Director-General may, from time to time, give.

(2) The rules and directions referred to in sub-section (1) may provide far-

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- (a) the appointment of an Advisory Committee consisting of persons selected from the members of the trade organization to assist the Administrator in the discharge of his functions;
- (b) holding of elections for the purpose of re-constitution of the Executive Committee at any time considered appropriate before the expiry of the term of appointment of the Administrator;
- (c) compliance with the provisions of the Ordinance to the extent applicable to the trade organization except those relating to the laying of the income and expenditure account and reading of the auditor's report in general meeting;
- (d) withholding, during the period of super session of the Executive Committee, of the general meeting of the trade organization other than the meeting to hold elections for re-constituting the Executive Committee;
- (e) conduct of any business, during the period the general meeting remains withheld, which requires the approval or assent of the members at a general meeting;
- (f) the pay, allowances, remuneration and other privileges, of the Administrator and the members of the Advisory Committee; and
- (g) such other matters as are necessary for efficient management of the affairs of the trade organization.

(3) Any expenditure incurred in connection with the management of a trade organization by the Administrator including pay, allowances and remuneration of the Administrator and the members of the Advisory Committee shall be met as expenses, and be a charge on the income, of the trade organization:

Provided that the Federal Government may allow remuneration, honorarium to and reimbursement of actual expenses incurred by the Administrator in connection with performance of his functions to be met from the Trade Organizations fund.

**18. Restriction on suits against trade organizations.** Notwithstanding anything contained in any law for the time being in force or in the articles or memorandum of a registered trade organization, no suit or other legal proceedings relating to affairs of a trade organization shall be instituted or commenced in any Court except High Court.

**19. Compulsory membership of trade organizations.**-(1) Notwithstanding anything contained in any other law for the time being in force or in the articles or memorandum of association of any trade organization or other company or in any agreement or other instrument, the Federal Government may,-

- (a) subject to any rules made in this behalf, by order in writing, direct any firm, company or other concern engaged in any trade, commerce, industry or service to be a member of registered trade organization specified in the order; or
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- (b) if it considers expedient in the interest of trade, commerce, industry, or service, by Notification in the official Gazette, direct all such firms, companies or concerns or any class thereof engaged in trade, commerce, industry or service, as may be specified in the notification subject to exception if any, to be members of the registered trade organization or organizations specified in this behalf in such notification.

(2) Upon the issue of an order or notification under sub-section (1) the registered trade organization concerned shall admit as its member any firm, company or concern directed to be its member by such order or notification.

**20. Restriction on membership.**-(1) No person shall be a member of more than such number of trade organizations as the Federal Government may, by Notification in the official Gazette, specify in this behalf.

(2) A person convicted for any offence under this Ordinance shall not hold, or be eligible for holding, any office in a registered trade organization unless a period of five years has elapsed.

**21. Appeal.**-(1) Any person or trade organization aggrieved by any decision or order of the Administrator may, within fourteen days of communication of such decision or order, prefer appeal to the Director-General.

(2) Any person or trade organization aggrieved by any decision or order of the Director-General may, within fourteen days of communication of such decision or order, prefer appeal to the Federal Government whose decision, subject to sub-section (4), shall be final.

(3) On appeal under sub-section (1), the Director-General or, as the case may be, the Federal Government may suspend the operation or execution of the decision or order appealed against until, the disposal of such appeal.

(4) Any person aggrieved by the final order or decision of the Federal Government involving a question of law may, within thirty days of such order or decision, prefer appeal to the High Court.

**22. Delegation of powers.**-(1) The Federal Government may, by Notification in the official Gazette, direct that all or any of its powers under this Ordinance shall, in relation to such matters or subject to such conditions as may be specified therein, also be exercisable by the Director-General.

(2) The Director-General may, by order in writing, authorize the Administrator or any other officer to exercise and perform any of his powers and functions under this Ordinance.

**23. Federal Government may carry out the functions of the Director-General.** Notwithstanding anything contained in any other provision of this Ordinance, the Federal Government may, by notification in the official Gazette, direct that the powers and functions of the Director-General shall, under such circumstances, or in such cases, as may be specified in the notification, be exercised and performed by the Federal Government and upon such notification reference to the Director-General in the relevant provisions of this Ordinance



shall be construed as reference to the Federal Government and such provisions shall have effect accordingly.

**24. Power to levy fee etc.** The Federal Government may levy and charge prescribed processing fee for grant of license or renewal of license to a trade organization, and for examining the performance reports, audited accounts, and other documents submitted to the Federal Government or the Director-General.

**25. Penalty.** Where a person contravenes any provision of this Ordinance or any rule or order made, or any direction or instruction given there under, or obstructs any officer or person acting under or in pursuance of any such provision, rule, order, direction, or instruction, shall be liable to penalty which may extend to one hundred thousand rupees.

**26. Contravention by companies, etc.** Where a person contravening or failing to comply with, any provision of this Ordinance or any rule, order or direction made or issued there under is a company or other body corporate, every managing director, director, manager, secretary or other officer or agent thereof shall, unless he proves that the offence was committed without his knowledge or that he exercised due diligence to prevent its commission, shall be liable to the penalty as provided for such contravention or failure.

**27. Trade Organizations Fund.**-(1) There shall be established a fund to be known as the Trade Organizations Fund which shall consist of grants made by the Federal Government and the Provincial Governments;

(a) fees and penalties collected by the Director-General; and

(b) contributions from local and foreign donors or agencies.

(2) The Federal Government shall make rules and regulations for utilizing and incurring expenditures from the fund.

(3) For the purpose of maintaining the fund the Federal Government may open and maintain accounts at such scheduled banks as it may from time to time determine.

**28. Presumption as to orders.** Where an order purports to have been made or signed by an authority or person in exercise of any power conferred by or under this Ordinance, a Court shall presume that such order was so made by that authority or person.

**29. Mode of recovery.** Any sum imposed as penalty under this Ordinance shall be recoverable as an arrear of land revenue.

**30. Indemnity.** No suit, prosecution or other legal proceedings shall lie against any person for anything which is, in good faith, done or intended to be done in pursuance of this Ordinance or any rule or order made or any direction given there under.

**31. Power to make rules.** The Federal Government may, by Notification in the official Gazette, make rules for carrying out the purposes of this Ordinance.

**32. Ordinance to override other laws.** The provisions of this Ordinance shall have effect notwithstanding anything to the contrary contained in any other law, for the time being in force.

**33. Transitional provisions.**-(1) All existing trade organizations, before submitting application for grant of license under this Ordinance shall alter their Memorandum and Articles of Association or any existing arrangement, and shall take such other actions as are necessary to bring the constitution, working and procedures of the existing trade organizations in conformity with the provisions of this Ordinance.

(2) Notwithstanding anything contained in this Ordinance, or any other law for the time being in force, or provisions contained in the Memorandum and Articles of Association of any trade organization, in order to bring the composition of the Federation of Pakistan Chambers of Commerce and Industry, chambers and associations in conformity with the provisions of this Ordinance, the Federal Government may, within six months of the commencement of this Ordinance, pass any orders deemed appropriate for this purpose. Such orders may include, but not limited to, extension of the tenure of the office-bearers and committees, or super session of Executive Committee, or appointment of Administrator, or annulment of the elections of any trade organization including the Federation of Pakistan Chambers of Commerce and Industry, held under the repealed Ordinance or the order of the Court. Simultaneously, with the passing of such order, the Federal Government shall issue schedule of election for the respective trade organization.

**34. Repeal and savings.** On the commencement of this Ordinance:-

- (a) the Trade Organizations Ordinance, 1961 (XLV of 1961), in its application to trade organizations with objects and business not confined to a Province, shall stand repealed.
  - (b) Save as otherwise expressly provided, nothing in this Ordinance, or any repeal effected thereby, shall affect or deemed to affect anything done, action taken, investigation and proceedings commenced, or orders, rules, regulations, appointment, documents or agreements made, directions given, proceedings taken, or instruments executed or issued under or in pursuance of the repealed Ordinance and any such thing, action, investigation, proceedings, orders, rule, regulation, appointment, deed, document, directions, proceeding shall, if in force at the commencement of this Ordinance and not inconsistent with any of the provisions of this Ordinance, continue to be in force, and have effect as if it were respectively done, taken, commenced, made, directed, given, executed or issued under corresponding provisions of this Ordinance.
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